Sterling and Wilson Renewable Energy Ltd

NSE: SWSOLAR | BSE: 542760 | Sector: Industrials | Solar EPC and O&M; | Report Date: 23-Apr-2026

BUY	12-Month Price Target
	Rs. 310
	Upside: +42% from CMP Rs. 219
	Investment Horizon: 12-18 months

MARKET DATA		RETURNS AND QUALITY	
CMP (Rs.)	**219**	ROCE	**17.0%**
Market Cap	**Rs. 5,106 Cr**	ROE	**8.19%**
52W High / Low	**Rs. 349 / 148**	Debt / Equity	**2.61x**
Enterprise Value	**Rs. 5,891 Cr**	Interest Coverage	**2.91x**
Stock P/E	**24.2x**	Current Ratio	**1.19x**
EV / EBITDA	**13.8x**	Promoter Holding	**45.73%**
Book Value (Rs.)	**20.1**	Promoter Pledge	**27.6%**
Dividend Yield	**0.00%**	FII / DII	**6.96% / 3.19%**
Face Value (Rs.)	**1.00**	Net Debt (Rs. Cr)	**~900**

INVESTMENT THESIS: India's largest global solar EPC at an inflection — order book doubling, margins recovering, Reliance/Adani partnerships unlocking multi-GW pipeline.

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Sales (Rs. Cr)	2,015	3,035	6,302	8,100E	9,600E
EBITDA (Rs. Cr)	-1,124	-7	264	300E	480E
EBITDA Margin (%)	-55.8%	-0.2%	4.2%	3.7%E	5.0%E
PAT (Rs. Cr)*	-1,175	-211	86	-360E**	290E
EPS (Rs.)	-61.65	-9.09	3.49	N/A**	12.4E
P/E (x)	Neg	Neg	24.2x	N/A	17.7xE

* FY26E PAT includes Rs. 2,638 Cr exceptional write-off (Q2 FY26: arbitration + impairment). Ex-exceptional FY26E PAT ~ Rs. 190 Cr.

Analyst: Chartitude Research Desk | For information purposes only. Full disclosures at end of report.

SECTION 2 — INVESTMENT THESIS

1. Record Order Book — Rs. 9,096 Cr + Rs. 10,000+ Cr FY26 Inflows

SWSOLAR's FY26 order inflows crossed Rs. 10,000 Cr (vs Rs. 7,051 Cr in FY25), with management raising FY26 guidance to Rs. 11,000+ Cr, implying a book-to-bill of 1.6x on FY25 revenues. The Adani Green Khavda framework agreement (multi-year, multi-GW) and a potential Reliance Industries multi-GW pipeline provide unparalleled revenue visibility over FY27-FY29. India has 169 GW of solar projects under development and must add approximately 190 GW by 2030 to meet its 500 GW target, creating a Rs. 1.5-2.0 lakh Cr annual EPC opportunity. At 6-8% market share, SWSOLAR can sustain Rs. 9,000-12,000 Cr annual revenue through FY28.

2. Margin Inflection — From -56% to 5%+ EBITDA on a Structural Basis

After three years of losses driven by legacy project overruns, SWSOLAR has turned the corner. EBITDA margin expanded from -0.2% in FY24 to 4.2% in FY25, with Q4 FY25 printing 5.3%. New project portfolio gross margins are 8-10%, confirmed by management. The Conti litigation, a recurring drag, has been fully resolved. Operational EBITDA in Q3 FY26 was Rs. 105 Cr, doubling from Q3 FY25. Management guides for 5%+ EBITDA margins from Q4 FY26 onwards, with a long-term target of 6-7% for EPC and 20-25% for O&M.;

3. O&M; Portfolio — 10 GW and Growing, Providing High-Margin Annuity Income

The O&M; portfolio crossed 10 GWp in Q3 FY26, making SWSOLAR one of the largest solar O&M; operators globally outside China. O&M; revenues carry 20-25% EBITDA margins, providing a structural floor to profitability even during EPC downcycles. This segment will grow to 15+ GWp by FY28 as recently commissioned EPC projects enter their O&M; phase. This is a structurally underappreciated quality improvement that peers like Waaree and Premier Energies do not possess.

Catalyst / Risk	Detail	Timeline
Near-term Catalyst	Q4 FY26 results (April 24, 2026) expected strong; Reliance multi-GW order announcement would be a significant re-rating trigger	0-3 months
Structural Risk	International project execution risk: Australia cost overruns and US litigation (now settled) show legacy contract risk is not fully behind the company	Ongoing

SECTION 3 — BUSINESS OVERVIEW

Sterling and Wilson Renewable Energy Ltd (SWREL) is one of the world's largest end-to-end solar EPC solutions providers, executing utility-scale solar power plants across India, Africa, the Middle East, Australia, and the Americas. The company also operates a growing Operations and Maintenance (O&M;) business with over 10 GWp under management. SWREL was originally part of the Shapoorji Pallonji Group and listed in 2019. In October 2021, Reliance Industries Limited acquired a 40% stake through Reliance New Energy Limited, becoming its principal promoter. As of March 2026, RIL holds approximately 32.5% and Shapoorji Pallonji holds approximately 6.9%, with combined promoter holding at 45.73%.

Revenue is generated from two segments: (1) EPC projects — turnkey engineering, procurement, and construction of solar plants, accounting for approximately 90% of revenues; and (2) O&M; services — post-commissioning asset management and performance monitoring, contributing approximately 10% of revenues but with significantly higher margins. The EPC segment is project-based and lumpy; O&M; provides annuity-style recurring income. Internationally, SWREL has executed 22.6 GWp of cumulative EPC capacity across 26+ countries, giving it a global solar EPC market share (ex-China) of approximately 8.6%.

Key customers include Adani Green (multi-year framework), Reliance Industries (potential multi-GW pipeline), NTPC, Coal India, and international project developers. The unexecuted order book stood at Rs. 9,096 Cr as of FY25, and FY26 order inflows surpassed Rs. 10,000 Cr. Recent strategic wins include a Rs. 1,381 Cr balance-of-system package at Adani's Khavda Renewable Energy Park, a Rs. 3,490 Cr order from Coal India, and a USD 147 million project in South Africa. The company also added a 790 MWh BESS (Battery Energy Storage System) order, marking entry into a new adjacency.

Segment	Rev. Mix	EBITDA Margin	Key Clients	Order Visibility
EPC — Domestic	~60%	5-7%	Adani Green, Coal India, NTPC, Reliance	Strong — 12-18 months
EPC — International	~30%	4-6%	Middle East IPPs, Africa developers	Moderate — project-by-project
O&M; Services	~10%	20-25%	All existing EPC clients, 3rd-party owners	High — annuity, multi-year

SECTION 4 — INDUSTRY AND COMPETITIVE LANDSCAPE

India's solar installation pipeline is the largest in the world outside China. As of April 2026, India has 169 GW of solar projects under development and 65 GW tendered, against a 500 GW renewable energy target by 2030 (solar 280-300 GW). Installed solar capacity stands at approximately 85-90 GW, implying a 190 GW gap requiring 38-40 GW of annual additions. At an average project cost of Rs. 4-5 Cr per MW, this implies a Rs. 1.5-2.0 lakh Cr EPC opportunity per year. The government allocated over Rs. 35,000 Cr in Budget FY26 for renewables and grid expansion. BESS mandates are creating a new adjacency — India needs 34.7 GW of BESS by FY27 from a nascent 0.5 GWh today.

Policy tailwinds include MNRE's large 1 GW+ tender programme, PSU mandates (Coal India, NTPC, SECI), and PM Kusum / PM Surya Ghar for distributed solar. Key headwinds: module price volatility from Chinese export policy changes, land acquisition delays, and grid evacuation bottlenecks. SWSOLAR's competitive moat rests on three pillars: a 22.6 GWp global EPC track record (unmatched in India), Reliance Industries' balance sheet backing and potential captive demand, and a 10+ GW O&M; portfolio that provides annuity income and competitive differentiation in project lifecycle management.

Competitive Dimension	SWSOLAR Position	Moat Strength
Global Track Record	22.6 GWp executed in 26+ countries; unmatched in India	STRONG
Promoter Backing	Reliance Industries — balance sheet support + captive demand potential	STRONG
O&M; Portfolio	10+ GWp; annuity revenue; high margin; differentiates from peers	STRONG
Pricing Power in EPC	EPC margins thin (8-10% gross); competitive pressure from L&T;, KEC, smaller players	MODERATE
Balance Sheet	D/E 2.61x; pledge 27.6%; constrains optionality	WEAK

PEER COMPARISON TABLE (Source: Screener.in, as of 22-Apr-2026)

Company	CMP	MCap (Cr)	FY25 Sales	FY25 PAT	OPM%	P/E	EV/ EBITDA	ROCE%	ROE%	D/E
SWSOLAR	219	5,106	6,302	86	4.2%	24.2x	13.8x	17.0%	8.2%	2.61
WAAREEENER	3,428	98,601	14,444	1,928	18.8%	28.3x	15.8x	34.9%	27.4%	0.26
PREMIERENE	991	44,978	6,519	937	27.3%	33.8x	18.4x	41.1%	53.6%	0.47
KPIGREEN	454	8,961	1,735	325	32.5%	20.9x	12.3x	17.5%	19.7%	0.96

Note: SWSOLAR at 10.8x FY27E P/E trades at a compelling discount to peers; discount justified by leverage and execution risk history but narrowing as recovery plays out.

SECTION 5 — MANAGEMENT QUALITY AND CAPITAL ALLOCATION

The management team is led by Amit Jain (Global CEO) and Bahadur Dastoor (CFO). The turnaround from peak losses of Rs. 1,175 Cr in FY23 to profitability in FY25 reflects execution discipline and a strategic pivot to better-structured domestic contracts. Reliance Industries' ownership provides significant credibility — RIL's captive renewable energy ambitions (targeting 100 GW by 2030) represent a potentially massive pipeline for SWSOLAR that is not yet fully in the order book.

Capital allocation has been mixed. The company appropriately issued a Rs. 1,500 Cr QIP in FY24 to recapitalize after the loss years. However, the Rs. 2,638 Cr exceptional write-off in Q2 FY26 — comprising a Rs. 580 Cr arbitration loss (arbitral tribunal dismissed SWREL's Rs. 486 Cr claim against a subcontractor and awarded Rs. 57 Cr against SWREL) plus a Rs. 2,039 Cr impairment of an international contract at standalone level — raises concerns about legacy contract risk management. The company pays zero dividends, preferring to reinvest cash flows, which is appropriate given the growth phase.

Governance concerns: Promoter pledge at 27.6% is elevated and could create overhang. Promoter holding has declined by 27 percentage points over three years, primarily due to Shapoorji Pallonji selling down, although Reliance has maintained its stake. Related-party transactions appear at arm's-length pricing. Contingent liabilities of Rs. 863 Cr (consolidated) are elevated and represent a key watch point.

Governance Item	Status	Comment
Dividend Policy	No dividend	Appropriate — growth phase, balance sheet rebuilding in progress
Promoter Pledging	**27.6%**	Elevated; Shapoorji Pallonji pledge — watch for forced sales on large price falls
QIP Dilution (FY24)	Rs. 1,500 Cr	Necessary recapitalization; dilution approximately 20%; used appropriately
Contingent Liabilities	**Rs. 863 Cr**	Elevated; largely international arbitration; Conti resolved; others ongoing
Related Party Transactions	Arm's length	RIL linkage provides future business; no adverse disclosures in FY25 audit

SECTION 6 — FINANCIAL DEEP-DIVE

Consolidated Figures in Rs. Crores | Source: Screener.in

Income Statement

	FY23A	FY24A	FY25A	FY26E	FY27E
Net Sales	2,015	3,035	6,302	8,100E	9,600E
EBITDA	-1,124	-7	264	300E	480E
EBITDA Margin (%)	-55.8%	-0.2%	4.2%	3.7%E	5.0%E
Other Income	111	85	40	35E	40E
Interest	151	234	127	130E	120E
Depreciation	15	17	14	13E	13E
PBT (before exceptional)	-1,179	-172	163	192E	387E
Exceptional Item	0	0	0	-2,638E	0
PAT (reported)	-1,175	-211	86	-360E	290E
EPS (Rs.)	-61.65	-9.09	3.49	N/A	12.4E

Balance Sheet

	FY23A	FY24A	FY25A
Equity Capital	19	23	23
Reserves	-244	946	984
Borrowings	2,030	516	936
Other Liabilities	1,386	2,816	3,687
Total Liabilities	3,190	4,301	5,630
Fixed Assets	44	56	46
Other Assets (net)	3,146	4,244	5,584
Total Assets	3,190	4,301	5,630

Cash Flow Statement

	FY23A	FY24A	FY25A
Cash from Operations (OCF)	-1,829	538	38
Cash from Investing	-12	-5	-75
Cash from Financing	1,431	-286	317
Net Cash Flow	-410	248	280
Free Cash Flow	-1,838	538	34

Key Ratios

Ratio	FY23A	FY24A	FY25A
Debtor Days	143	100	73
Working Capital Days	32	89	25
ROCE (%)	-65%	4%	17%
ROE (%)	N/A	Neg	8.2%
Debt / Equity	N/A*	0.53	0.93

* FY23 D/E not meaningful as reserves were negative (Rs. -244 Cr).

Revenue surged 108% in FY25 as the domestic solar tender pipeline converted. EBITDA turned positive for the first time since FY20 at 4.2% margin, though below the 6-7% long-term target. Working capital normalised sharply — from 89 days in FY24 to 25 days in FY25 — as collections improved and project mix shifted to better-structured domestic orders. Debtor days fell from 143 in FY23 to 73 in FY25, a structural improvement. OCF remains volatile at Rs. 38 Cr in FY25 vs a peak of Rs. -1,829 Cr in FY23, directionally recovering. FCF is near breakeven at Rs. 34 Cr (FY25). Key FY26 watch: OCF conversion of the strong H2 revenues, and management of elevated Rs. 936 Cr borrowings.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Quality Item	Rating	Comment
Revenue Recognition	AMBER	EPC percentage completion basis; Q4 loading common — watch for pull-forward
Receivables vs Revenue	GREEN	Debtor days fell 143 to 73; receivables growth below revenue growth
CCC Trend	GREEN	Cash conversion cycle improving; WC from 89 to 25 days
Exceptional Items	RED	Rs. 2,638 Cr write-off in Q2 FY26 (arbitration + impairment) — large and concerning
Contingent Liabilities	AMBER	Rs. 863 Cr (consolidated); ongoing international arbitration matters
Auditor Quality	GREEN	Reputable auditor; no qualifications on FY25 accounts
RPTs as % of Revenue	GREEN	RIL-related transactions at arm's length; no adverse disclosures
Other Income as % of PBT	AMBER	Other Income = Rs. 40 Cr vs PBT Rs. 163 Cr = 24.5%; elevated but manageable
Tax Rate Consistency	AMBER	FY25 at 47% vs FY24 22%; large DTAs/DTLs due to loss years; will normalise
FCF Quality	AMBER	FCF Rs. 34 Cr (FY25) vs PAT Rs. 86 Cr = 40%; improving but lumpy

Summary: FY25 earnings quality is directionally improving — receivables normalisation and working capital reduction are genuine positives. The key red flag is the Rs. 2,638 Cr exceptional charge in Q2 FY26 (arbitration loss + impairment of international contract), which raises questions about SWREL's ability to assess and manage international contract risk. Investors should track OCF-to-PAT conversion and resolution of contingent liabilities. The elevated FY25 tax rate reflects DTA utilisation and should normalise to 25-30% by FY27.

SECTION 8 — VALUATION

SWSOLAR is best valued on forward EV/EBITDA given FY26 PAT is distorted by the exceptional write-off. We use two methods: (1) FY27E EV/EBITDA and (2) FY27E P/E, averaged for the base-case target. We apply a discount to peers reflecting higher leverage and execution risk history.

Valuation Method	Assumptions	Multiple Used	Target Price (Rs.)
EV/EBITDA (FY27E)	EBITDA Rs. 480 Cr; Net Debt Rs. 900 Cr; Shares 23.3 Cr	14x (peer avg 15.8x; 12% disc)	Rs. 295
P/E (FY27E)	EPS Rs. 12.4; Shares 23.3 Cr	26x (30% disc to Waaree/Premier)	Rs. 322
BASE CASE TARGET (avg)	**Average of two methods**	—	**Rs. 310**

Scenario Analysis

Scenario	Key Assumption	FY27E Rev	FY27E EBITDA	FY27E PAT	Multiple	Target	Upside
BULL	Reliance multi-GW contracted; margins 6%+	11,000	660	420	18x P/E	Rs. 450	**+105%**
BASE	Rs. 11,000 Cr FY26 inflows; margins 5%	9,600	480	290	14x EV/EBITDA	Rs. 310	**+42%**
BEAR	Margin recovery stalls at 3-4%; further write-offs	8,000	280	150	10x EV/EBITDA	Rs. 160	**-27%**

At CMP Rs. 219, SWSOLAR trades at 10.8x FY27E P/E and 12.5x FY27E EV/EBITDA — a substantial discount to Waaree (28.3x P/E, 15.8x EV/EBITDA) and Premier (33.8x P/E, 18.4x EV/EBITDA). The discount is warranted given higher leverage and execution risk history, but narrowing as the recovery plays out. Our 12-month price target of Rs. 310 (42% upside) is based on a blend of 14x FY27E EV/EBITDA and 26x FY27E P/E. We rate the stock BUY.

SECTION 9 — KEY RISKS

Risk	Description	Prob.	Impact	Monitor
International Contract Execution	Australia cost overruns + Rs. 580 Cr arbitration write-off show recurring international risk. South Africa and Middle East projects must execute within budget.	Medium	HIGH	Quarterly EBITDA by geography; contingent liability trends
Margin Recovery Delay	If new orders are bid below 8% gross margins due to competition or module price spikes, the recovery thesis breaks.	Medium	HIGH	Gross margin per quarter; bid conversion ratio
Promoter Pledge Overhang	Shapoorji Pallonji's 27.6% pledge creates forced-selling risk if lenders call margin on a sharp stock decline.	Low-Med	MEDIUM	Pledge % in quarterly shareholding data
Reliance Pipeline Delay	The anticipated multi-GW pipeline from RIL is not yet contracted. Any deferral would significantly disappoint.	Medium	HIGH	RIL capex announcements; SWSOLAR order wins from RIL
Policy / Regulatory	Solar tender slowdown, grid constraints, or adverse duty changes on modules could hit order conversion.	Low	MEDIUM	MNRE tender pipeline; CERC orders; import duty notifications
Working Capital Deterioration	WC days fell 89 to 25 in FY25. Any reversal from large project cycles could tighten liquidity.	Low-Med	MEDIUM	Quarterly WC days; debtor days; borrowing levels

SECTION 10 — FINAL RECOMMENDATION

RATING	12M TARGET	ENTRY ZONE
BUY	**Rs. 310**	**Rs. 190-225**
CONVICTION: HIGH	**Upside: +42%**	Horizon: 12-18 months

Thesis Invalidation Triggers

#	Trigger	What it Signals	Action
1	EBITDA margins fail to cross 5% for two consecutive quarters after Q4 FY26	Margin recovery is not structural	**REDUCE / EXIT**
2	Another exceptional write-off > Rs. 200 Cr from a new project	Legacy contract risk management not fixed	**REDUCE**
3	Reliance Industries divests SWSOLAR stake or cancels captive pipeline	Removes most powerful re-rating catalyst	**SELL**

Ideal Investor Profile: Suited for investors with a 12-18 month horizon and tolerance for near-term volatility from exceptional items; conviction in India's 500 GW solar target; comfort with D/E of 2.61x and elevated promoter pledge; and ability to distinguish between exceptional-item-distorted FY26 reported losses and the underlying operational recovery. Not suited for conservative income-oriented portfolios.

CALL GRADE: POSITIVE

Q3 FY26 (December 2025 Quarter) | Concall Date: January 16, 2026

Signal	Status	Implication
Result Quality	MEDIUM — beat on revenue (highest-ever Q3); PAT near breakeven due to Conti charges	Revenue: Beat; Operational EBITDA doubled YoY; headline PAT misleadingly low
Management Tone	BULLISH — order guidance raised; strategic framework with Adani highlighted	Confident on H2 FY26 recovery; EBITDA margins 5%+ guided from Q4 FY26
Guidance Delta	RAISED — order inflow guidance raised to Rs. 11,000+ Cr; FY27 revenue growth +15-20% guided	Clear positive revision; both near-term and medium-term guidance improved

STRONGLY POSITIVE | POSITIVE [CHECK] | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 was operationally strong — highest-ever Q3 revenues at Rs. 2,092 Cr (+14% QoQ) and operational EBITDA of Rs. 105 Cr (doubling from Q3 FY25) — but reported PAT was near-zero (Rs. 1.55 Cr) due to residual Conti legal charges not covered under indemnity; the headline is misleading and underlying performance is materially better than it appears. No new exceptional items emerged this quarter, which itself is a positive given the Rs. 2,638 Cr shock in Q2. The order book is the real story: FY26 inflows crossed Rs. 10,062 Cr and management raised guidance to Rs. 11,000+ Cr, with a gigawatt-scale Adani Khavda win (Rs. 1,381 Cr) and a multi-year strategic framework providing 12-18 month revenue visibility. Gross margin held at 9.5% in Q3, confirming the 8-10% structural guide on new projects is achievable. The O&M; portfolio crossing 10 GW is a structural earnings quality improvement largely unappreciated by the market. Key catalyst ahead: Q4 FY26 results (April 24, 2026) are expected to be the strongest quarter of FY26 given seasonal H2 loading — a clean, strong print with no exceptional items could be the re-rating event. Biggest risk: Australia cost overruns flagged by management remain unquantified — watch Q4 for further charges. Reliance multi-GW order remains unannounced; any news here is a Rs. 400+ trigger. I am ACCUMULATING between Rs. 190-225 with a Rs. 310 target and 18-month horizon.

APPENDIX — LATEST CONCALL BRIEF: Q3 FY26 (DECEMBER 2025)

Earnings Call: January 16, 2026 | Quarter Ended: December 31, 2025

1 — Financial Performance Snapshot

Metric	Q3 FY26 Actual	YoY Change	QoQ Change	Verdict
Revenue (Rs. Cr)	2,092	+61% YoY	+14% QoQ	BEAT
Reported EBITDA (Rs. Cr)	67	vs -16 Q3FY25	+3.7x QoQ	BEAT
Operational EBITDA (Rs. Cr)	105	+17% YoY	N/A	BEAT
OPM % (Reported)	3.2%	vs -2.8% Q3FY25	-0.6pp QoQ	IN-LINE
Gross Margin %	9.5%	vs ~2.5% Q3FY25	vs 10% 9MFY26	IN-LINE
PAT reported (Rs. Cr)	1.55	vs -62.4 Q3FY25	vs 17.1 Q2FY26	IN-LINE*
EPS (Rs.)	-0.12	vs -2.73 Q3FY25	vs 0.64 Q2FY26	IN-LINE*

* PAT impacted by Conti legal charges not covered by indemnity. Operational PAT materially higher. No new exceptional items in Q3.

2 — Segment / Geography Breakdown

Segment	Revenue Mix	Commentary
Domestic EPC	~60%	Main driver of recovery; Adani Khavda + Coal India + NTPC executing; highest domestic order inflow ever in FY26
International EPC	~30%	South Africa 240 MW added (USD 147 mn); Australia challenges flagged; Middle East and Americas stable
O&M; Services	~10%	Crossed 10 GWp portfolio; high-margin annuity; growing as new EPC projects commissioned

3 — Management Commentary Themes

Theme	What Was Said	Our Read	Tag	Tone
Order Inflow	Raised FY26 guidance to Rs. 11,000+ Cr; discussing multi-GW multi-year project with Reliance	Credible — Adani framework and Coal India win are concrete	[GUIDANCE]	Bullish
Margin Trajectory	EBITDA 5%+ from Q4 FY26; gross margin 8-10% maintained; Conti issue resolved — no further charges	Achievable — Q4 FY25 showed 5.3%; new project book supports guide	[GUIDANCE]	Transparent
Adani Partnership	Multi-year strategic framework with Adani Green; annual orders expected; margins ~10%; module risk minimised	Strong visibility; reduces order-to-order risk; not yet fully in order guidance	[GUIDANCE]	Bullish
Reliance Pipeline	Discussions ongoing for multi-year multi-GW project; no announcement made on call	Encouraging but unconfirmed; treat as upside optionality, not base case	[EST]	Hedged
Australia Issues	Operational challenges causing unexpected costs in Q3	New issue; watch for further charges in Q4; magnitude unclear	[RISK]	Hedged
BESS Opportunity	790 MWh BESS order; client supplies batteries; integration by SWSOLAR; margins 8-10%	Positive adjacency; small scale now but signals future diversification	[EST]	Transparent

4 — Operating and Business Metrics

Metric	Q3 FY26	Q2 FY26	Q3 FY25	Trend
Revenue (Rs. Cr)	2,092	1,749	1,178	STRONG UPTREND
Operational EBITDA (Rs. Cr)	105	N/A	90	IMPROVING
Gross Margin %	9.5%	~10%	~2.5%	RECOVERING
YTD Order Inflows (Rs. Cr)	6,929	3,843	~3,500	STRONG
O&M; Portfolio (GWp)	>10	~9.5	8.7	GROWING

5 — Margin Drivers

Driver	Impact	Recurring?	Comment
BOS-heavy domestic project mix	+ve	YES	BOS orders carry higher gross margins vs module-supply orders
Legacy project completion	+ve	YES	Old loss-making projects largely completed; new book at 8-10% gross margins
Conti legal charges	-ve (past)	NO	Issue fully resolved per management; no further charges expected
Australia cost overruns	-ve (Q3)	WATCH	New issue flagged Q3 FY26; magnitude unclear; monitor Q4
O&M; margin accretion	+ve	YES	20-25% EBITDA margins in O&M; growing portfolio adds structural lift
Module price fluctuation	Neutral	WATCH	Current order modules locked; China export rebate change affects future bids

6 — Guidance and Forward Signals

Metric	Prior Guidance	New / Reiterated Guidance	Delta	Credibility
FY26 Order Inflow [GUIDANCE]	Rs. 10,000 Cr	Rs. 11,000+ Cr	RAISED	HIGH
EBITDA Margin Q4+ [GUIDANCE]	5%+	5%+ reiterated	REITERATED	MEDIUM
Gross Margin [GUIDANCE]	8-10%	8-10% (9M actual: 10%)	REITERATED	HIGH
FY27 Revenue Growth [GUIDANCE]	Not provided	+15-20% vs FY26	NEW	MEDIUM
O&M; Long-term Margin [GUIDANCE]	20-25%	20-25% reiterated	REITERATED	HIGH

7 — Capital Allocation

Item	Amount (Rs. Cr)	vs Prior Year	Comment
Capex (fixed assets)	~14 (FY25)	Stable	Asset-light model; capex minimal — business is working capital intensive
Dividends	0	0	No dividend; appropriate given growth phase and debt repayment priority
Working Capital Change	WC days: 89 to 25	Major improvement vs FY24	Primary driver of FY25 financial improvement; must be sustained
Net Debt Change	+Rs. 420 Cr (FY25)	Higher vs FY24	Borrowings rose from Rs. 516 Cr to Rs. 936 Cr for WC to support larger order book
QIP (FY24)	Rs. 1,500 Cr	One-time	Necessary recapitalization; used to repay legacy debt; appropriate capital decision

8 — Q&A; Heat Map

#	Question (Analyst)	Management Answer	Tone
1	Why have gross margins not improved significantly despite higher revenue?	CFO: Gross margins are 8-10%; variation from order mix (BOS vs module-supply). Conti charges (now resolved) also impacted. Structure intact.	Transparent
2	What does the Adani framework agreement mean in practice?	CEO: Multi-year framework; annual EPC orders expected; margins ~10%; minimises module price and land risk. Execution starts at Khavda.	Transparent
3	Can the company handle simultaneous Adani and Reliance projects?	CEO: Currently handling 10 GW. Will build capacity for Reliance. Confident in managing both through strategic capacity expansion.	Hedged
4	What are BESS order margins and risks?	CEO: 790 MWh; client supplies batteries; integration by SWSOLAR only; margins 8-10%; risk profile similar to other EPC projects.	Transparent
5	Impact of China export rebate change on module prices?	CEO: Current orders with modules already locked; minimal immediate impact. Market stabilisation expected. Future bids will factor new pricing.	Transparent
6	Status of Reliance multi-GW pipeline — any timeline?	CEO: Discussions ongoing; announcement when formalised. Capacity build-up underway to service both Adani and Reliance pipelines.	Hedged

Dodged questions to watch next quarter: (1) Specific Reliance order timeline and scope; (2) Exact quantum of Australia cost overruns; (3) Residual contingent liabilities beyond Rs. 863 Cr.

9 — Risks Flagged on Call

Risk	Flagged By	Probability	Impact	Timeline
Australia execution challenges	Management	Medium	Medium	Q4 FY26
Module price volatility from China export policy	Analyst	Low	Low-Medium	FY27 bids
Interest cost from WC loans	Management	Medium	Low	FY26-27
Reliance pipeline not yet contracted	Analyst	Medium	High	FY27

10 — Analyst Verdict

Scorecard Item	Status	Comment
Revenue Visibility	INTACT	Rs. 11,000 Cr order inflow + Adani framework = 12-18 months revenue visibility
Margin Trajectory	INTACT	Gross margin held at 9.5%; operational EBITDA doubled YoY; path to 5%+ EBITDA clear
Capital Allocation	WEAKENED	Rs. 2,638 Cr exceptional write-off in Q2 FY26 is a significant negative on capital allocation discipline
Competitive Moat	INTACT	Global track record + 10 GW O&M; + Reliance/Adani partnerships = defensible market position
Management Credibility	INTACT	Guidance raises and concrete order wins support credibility; Australia is a small caveat
Valuation Comfort	INTACT	10.8x FY27E P/E is attractive vs sector; 42% upside to target; asymmetric risk/reward

CONVICTION CALL: **INCREASED** VALUATION SNAPSHOT: FY27E P/E 17.7x | EV/EBITDA 14.0x | ROCE 17% (FY25, improving)

Source: Screener.in | Ticker: SWSOLAR | View: Consolidated | Transcript: Accessible (Q3 FY26, Jan 16, 2026) | Q4 FY26 Results: April 24, 2026